Regulatory Implications of the Institutionalization of Stablecoins

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ABSTRACT

The domestic stablecoin market has experienced rapid growth, with transaction volumes reaching KRW 57 trillion during the first quarter of 2025. In response to ongoing regulatory developments in major countries, active discussions are underway in Korea to establish a regulatory framework for stablecoins. Currency-pegged stablecoins have close links with traditional financial systems such as banks, which necessitates stringent issuer eligibility criteria and operational regulations to ensure user protection regarding value stability and redeemability. Given the payment and settlement functions of stablecoins and their growing use beyond the crypto ecosystem, a comprehensive review of existing financial regulations, monetary policies, foreign exchange controls, and payment and settlement systems is required to address regulatory gaps. In particular , regulatory focus should be placed on the structure, function, and associated risks of stablecoins, applying a flexible approach under the principle of "same function, same risk, same regulation," to ensure alignment with existing oversight practices in traditional financial sectors and electronic payment instruments. Along with these efforts, it is crucial to continuously monitor emerging regulatory needs and enhance relevant frameworks to ensure that new types of services, such as applications leveraging the payment and settlement functions of stablecoins, uphold user protection and comply with anti-money laundering (AML) and countering the financing of terrorism (CFT) requirements. In addition, thorough analysis of issuer eligibility and user protection frameworks in key markets such as the U.S. and the EU is vital. Such analysis will help ensure that regulations governing cross-border stablecoin transactions, such as the domestic distribution of foreign-issued stablecoins and the offshore expansion of domestic operators, align with Korea's capital flow and foreign exchange regulations.

Bitcoin, the leading crypto asset, was designed to operate outside government control within the crypto ecosystem. However, its high price volatility has limited its ability to function as a stable currency, and the absence of an accountable issuing authority, such as a central bank, has made it difficult to establish trust. As a result, the majority of crypto assets, including Bitcoin, are primarily perceived as investment assets, whereas currency-pegged stablecoins—designed to maintain value stability and redeemability—have assumed the role of currency within the crypto ecosystem[1].

Stablecoins have taken various forms, including algorithmic types like Terra-Luna and asset-backed types pegged to commodities such as precious metals. Yet, only currency-pegged stablecoins are widely accepted for their value stability[2]. Given their close links with traditional fiat currencies, currency-pegged stablecoins serve as the primary bridge between traditional fiat currencies and crypto assets, which inevitably raises a wide range of regulatory issues.

The Evolution of Regulatory Frameworks for Crypto Assets and the Need for Stablecoin Institutionalization

The recent legislative discussions in Korea have focused on the institutionalization of KRW-denominated stablecoins, driven by growing concerns over the expanding dollar-denominated stablecoin market[3]. Even with regulatory oversight in place, stablecoins pegged to foreign currencies warrant caution, as their reserves must be man-

[1] While the EU's MiCA framework identifies value stability pegged to a currency as a defining feature of stablecoins, the recently enacted U.S. stablecoin regulation—the GENIUS Act—explicitly addresses payment and settlement functions in both the terminology and definition of stablecoins. Specifically, the GENIUS Act defines a "payment stablecoin" as a digital asset that is, or is designed to be, used as a means of payment or settlement.

[2] Even currency-pegged stablecoins can experience value deviations (de-pegging) from their reference currency, and exchange rates between stablecoins pegged to the same currency may also vary.

[3] As of the end of August 2025, five legislative bills related to currency-pegged stablecoins have been submitted. Among them, two bills—the General Act on Digital Assets (June 11, 2025, sponsored by Representative Min Byung-deok) and the Act on Innovation and Growth of the Digital Asset Industry (September 4, 2025, sponsored by Representative Lee Kang-il)—adopt an approach that integrates regulations for crypto assets and stablecoins. The other three bills—the Act on Payment Innovation Using Value-Pegged Digital Assets (July 28, 2025, sponsored by Representative Kim Eun-hye), the Act on Issuance and Distribution of Value-Stable Digital Assets (July 28, 2025, sponsored by Representative Ahn Do-geol), and the Act on Issuance Businesses of Value-Stable Digital Assets (August 21, 2025, sponsored by Representative Kim Hyun-jung)—propose establishing separate legislations specifically for stablecoins.

aged as foreign assets within the domestic financial system[4]. From the perspective of regulatory necessity, however, it is more important to ensure consistent regulation of stablecoins circulating within the country—regardless of whether their pegged asset is denominated in KRW or a foreign currency, or whether the issuer is domestic or offshore. In this regard, it is necessary to examine the ongoing regulatory debates concerning crypto assets and stablecoins.

The initial push for the institutionalization of crypto assets stemmed from an international consensus on the need to bring virtual asset service providers (VASPs) under regulatory oversight to enforce AML/CFT measures. In response, governments around the world—guided by the Financial Action Task Force (FATF)—began integrating crypto assets and VASPs into formal regulatory frameworks. In Korea, this effort materialized through the 2020 amendment of the Act on Reporting and Using Specified Financial Transaction Information, which established mandatory registration and AML/CFT compliance requirements for VASPs.

With the rapid growth of the crypto asset market, concerns over excessive speculative trading led to efforts to establish regulatory frameworks aimed at protecting investors, including regulations on issuers and unfair trading practices. In major jurisdictions such as the United States, existing financial laws related to investor protection—such as securities and commodities laws—have been actively applied to crypto asset issuance and trading, while the Act on the Protection of Virtual Asset Users was enacted in Korea in 2023.

In 2022, the bankruptcy of the U.S.-based crypto exchange FTX highlighted the need to address the risk of financial contagion stemming from the crypto asset market. As the market downturn deepened and trust in VASPs eroded, there was a sudden surge in withdrawal demands from these providers, triggering a "coin-run." This led to bank runs on U.S. banks heavily involved with crypto asset businesses, including Silvergate Bank, Signature Bank, and Silicon Valley Bank. These events sparked serious discussions on the need for institutional safeguards to ensure the soundness and stability of the overall financial system[5].

Recently, differentiated regulatory frameworks for currency-pegged stablecoins—crypto assets pegged to a fiat currency—have been developed in various jurisdictions, distinguishing them from general crypto assets. Unlike typical crypto assets, stablecoin issuers guarantee value stability and redeemability, hold financial assets denominated in the reference currency as reserve assets, and maintain close links with traditional financial institutions throughout issuance and redemption processes. This distinctive structure raises a wide range of regulatory issues surrounding not only financial stability and user protection but also monetary policy, foreign exchange, and payment systems[6].

Stablecoins facilitate anonymous transactions and enable cross-border transfers without routing through traditional financial systems. Yet, there is currently no comprehensive supervisory framework for issuers. As stablecoins are pegged to fiat currencies and are increasingly used as substitutes for traditional money in payments and settlements, several issues arise: issuers capturing seigniorage comparable to that of national currencies, disruptions in monetary policy implementation, use of stablecoins for cross-border payments to circumvent foreign exchange regulations, gaps in tax collection systems, and risks of capital outflows[7]. Furthermore, the widespread use and convenience of stablecoins increase their potential for illicit activities; since 2022, over 60% of illegal transactions involving crypto assets have been conducted using stablecoins[8].

[4] Regardless of whether stablecoin issuance is institutionalized in Korea, it is essential to thoroughly assess the issuer's capacity to manage foreign currency reserves, conduct issuance and redemption, and handle foreign exchange transactions.

[5] The collapse of traditional banks such as Silicon Valley Bank during the 2022 bankruptcy of the U.S. crypto exchange FTX was driven by a sharp sell-off of reserve assets to meet the surge in withdrawal demands caused by a "coin run," which triggered a decline in asset prices and subsequent spillover effects including market and liquidity risks.

[6] The government has also reflected these regulatory demands by incorporating them into its national agenda, "The Prompt Establishment of a Regulatory Framework for Stablecoins with a Focus on User Protection Related to Issuance and Circulation, Global Regulatory Consistency, and the Impacts on Monetary and Foreign Exchange Policies", National Planning Committee, 5-Year National Plan of the Lee Jae-myung Administration (Draft), Policy Task No. 48, August 2025

[7] Visa offers a service that allows card payments to be made not from deposits held at financial institutions, but from stablecoins stored in the accounts of VASPs. Additionally, foreign nationals can withdraw Korean won from ATMs in South Korea using stablecoins from their own accounts. Furthermore, detailed discussions are underway regarding the introduction of cross-border remittance services using stablecoins.

[8] Chainalysis, 2025 Crypto Crime Trends: Illicit Volumes Portend Record Year as On-Chain Crime Becomes Increasingly Diverse and Professionalized, January 15, 2025

At their core, stablecoins are designed to maintain value stability and redeemability in the designated reference currency. However, there are currently no effective mechanisms in place to safeguard user trust in these commitments or to hold issuers accountable. Consequently, if an issuer becomes unable to fulfill redemption obligations, significant market turmoil is likely to ensue. For instance, dollar-pegged stablecoins traded during the first quarter in Korea amounted to approximately KRW 57 trillion. Should issues arise with major issuers such as Tether (USDT), based in El Salvador, or Circle (USDC), based in the United States, domestic users holding substantial amounts would have limited legal or financial recourse for protection.

Key Considerations for Stablecoin Issuance

Regulatory discussions in Korea are primarily centered on permitting the issuance of stablecoins domestically, with a particular focus on institutionalizing issuer eligibility and issuance structures. Since the government banned domestic crypto asset issuance in 2017, all crypto assets—including stablecoins—have been issued offshore. Renewed discussions around permitting domestic issuance have therefore raised significant expectations among market participants. However, stablecoin regulation must be carefully designed to account for the various regulatory requirements previously outlined.

First, regarding issuer eligibility, it is essential to ensure stable and continuous business operations, as well as the issuer's credibility and public trust—given that stablecoins function not merely as investment assets, but as payment and settlement instruments equivalent to currency. This requires more than simply meeting legal entity requirements; issuers must also adhere to comprehensive standards related to governance structures, internal controls, and the qualifications of management, in line with their business plans. For example, the EU's MiCA limits stablecoin (e-money tokens) issuers to credit institutions or electronic money institutions, while Japan restricts eligibility to banks, trust companies, and funds transfer service providers under its Payment Services Act. In the case of the U.S., the GENIUS Act allows various types of issuers but subjects them to strict financial regulatory supervision. Domestically, issuers of electronic money or prepaid payment instruments are required to meet specific personnel and capital requirements and must register as electronic financial service providers under the Electronic Financial Transactions Act. In addition, banks and financial institutions involved in currency exchange are subject to stringent licensing requirements. Meanwhile, to prevent stablecoin-related risks from undermining the credibility of financial institutions or spilling over into the traditional financial system, it is advisable for such institutions to engage through separate subsidiaries rather than via direct issuance.

Second, while various approaches are under discussion regarding capital requirements, the minimum capital should not be regarded as sufficient. Instead, issuers must secure adequate capital to sustain their planned business operations and ensure that capital levels are sufficient to meet the increasing responsibilities that accompany business growth. For instance, the EU mandates a minimum capital of €350,000 or 2% of the stablecoin issuance—whichever is higher. Similarly, both the U.S. and Japan require issuers to secure sufficient capital to carry out their business plans effectively[9].

Third, funds received from the issuance of stablecoins must be managed and operated as reserves composed of high-quality liquid assets (HQLA) to ensure they can meet redemption demands. In the event of a sudden large-scale redemption (a "coin run") that triggers a liquidity crisis, stablecoins cannot depend on central banks' lender-of-last-resort functions or deposit insurance to protect users. Therefore, reserves should be maintained in safe and highly liquid assets—such as demand deposits and government bonds—to prepare for such emergencies. In addition, these reserve assets should be managed through trust structures or similar arrangements to ensure that they are insulated from the issuer's insolvency, thereby safeguarding user funds.

Fourth, it is important to consider the potential impact that the accumulation and management of reserve assets may have on related asset markets. For example, demand deposits held as reserves could trigger a bank run if a coin-run spills over into traditional banks. In domestic markets where short-term government bonds are not issued, increased buying and selling pressure on the limited supply

[9] Circle SAS, the entity responsible for issuing USDC within Europe, disclosed €26 million in capital as of September 2024.

of short-maturity bonds could heighten price volatility, potentially destabilizing financial markets[10]. Therefore, a comprehensive assessment of the risks associated with reserve accumulation requirements is essential.

Lastly, there should be no unreasonable barriers—such as excessive procedures or costs associated with additional issuance or redemption of stablecoins. The value stability of stablecoins depends on market confidence that any deviation from the reference currency can be swiftly corrected through timely issuance or redemption. Imposing excessive fees, unfair conditions, or unreasonable timeframes on users for processing such requests would constrain the market's capacity to preserve value stability[11].

The Tasks Ahead for Stablecoin Trading and Use

Designed to maintain a stable value pegged to a currency and serve as a payment method comparable to traditional money, stablecoins present a wide range of regulatory challenges—not only in terms of their institutional framework but also in their trading and usage. Therefore, it is crucial to address these challenges to ensure seamless institutionalization of stablecoins.

First, it is essential to amend relevant laws in alignment with existing financial regulations under the principle of "same function, same risk, same regulation" to prevent regulatory arbitrage or gaps[12]. Current financial regulations, including the Banking Act, are designed around transactions involving fiat currencies. However, overseas markets already offer services involving depositing stablecoins to receive returns similar to interest, or entrusting/lending stablecoins as investment instruments. While some domestic laws, such as the Act on the Regulation of Conducting Fund-Raising Business Without Permission included crypto assets in the scope of regulated funds, other laws such as the Credit Business Act and the Interest Limitation Act are based on monetary assets or claims. As a result, there is a concern that business activities involving stablecoins could be used to circumvent these regulations. Moreover, USD-backed stablecoins are increasingly being used for purposes such as offshore crypto asset transactions that fall outside the scope of legitimate foreign exchange. Despite this, cross-border payment transactions involving stablecoins are not currently subject to existing foreign exchange regulations. In this context, it would be prudent to consider establishing a formal consultation mechanism involving the Financial Services Commission (FSC), the Ministry of Economy and Finance (MOEF), and the Bank of Korea (BOK)—authorities responsible for financial regulation, foreign exchange administration, and monetary policy—as part of the process for authorizing stablecoin issuance.

Second, it is necessary to continuously assess the need for regulation of transactions that bypass traditional financial intermediaries—such as peer-to-peer (P2P) transfers—and to explore measures to address technical limitations in enforcement. Existing AML/CFT and financial consumer protection frameworks primarily focus on regulating financial institutions, which creates loopholes that can be exploited through non-institutional transactions. While it may be challenging to classify users in transactions that bypass financial institutions as financial consumers, it is nonetheless imperative to establish user protection mechanisms—particularly to address illegal activities exploiting stablecoin P2P transactions, such as voice phishing or misdirected transfers—as part of the broader efforts to institutionalize stablecoins. To this end, it is essential to introduce registration or reporting requirements for application and service providers that facilitate on-chain P2P transactions.

Third, in light of the growing volume and expanding use of foreign currency-denominated stablecoins traded domestically, it is necessary to consider measures to ensure the effectiveness of foreign exchange regulations and to safeguard monetary sovereignty. Currently, USD-backed sta-

[10] During the collapse of traditional banks following the bankruptcy of the U.S. crypto exchange FTX, a "coin-run" triggered a fire sale of banks' reserve assets, which led to a sharp decline in the market value of these assets and a risk transmission that worsened the financial institutions' soundness.

[11] In the case of USDT, for example, prior registration with Tether is required for additional issuance or redemption, and a registration fee of 150 USDT must be paid. Moreover, each issuance or redemption transaction must be at least $100,000, and a fee is charged per transaction equal to the greater of 0.1% of the transaction amount or $1,000. Source: https://tether.to/en/fees/ (Accessed: August 25, 2025).

[12] In the EU, the MiCA regulates the issuance and circulation of crypto assets, including stablecoins. However, single-currency pegged stablecoins known as E-Money Tokens (EMTs) are considered electronic money under the Electronic Money Directive (EMD2) and are therefore subject to the regulations of EMD2 along with the Payment Services Directive (PSD2), which governs payment services related to fund transfers. In Japan, stablecoins are regarded as a means of electronic payment and are regulated under the Payment Services Act, which governs electronic payment instruments.

blecoins dominate the global stablecoin market, accounting for over 99% of total issuance. Moreover, the Trump administration has clearly stated its policy objective to promote onshoring by leveraging domestic regulations to attract relevant industries to the United States while reinforcing the primacy of the dollar-based international monetary system[13]. From the perspective of domestic users, the incentives to trade KRW-backed stablecoins remains unclear when compared to USD-backed stablecoins. Consequently, the institutionalization of stablecoins and the development of relevant infrastructures may further promote the widespread use of dollar stablecoins within Korea. To address this issue, it is advisable to consider imposing reporting obligations on cross-border transfers of foreign currency-denominated stablecoins conducted domestically, as well as KRW -backed stablecoins transferred abroad. Moreover, strict investigation and enforcement measures against transactions designed to circumvent these regulations should be implemented to mitigate improper trading incentives. In addition, it may be worthwhile to draw on Japan's approach by requiring VASPs that facilitate trading within Korea to implement user safeguards proportionate to the volume of domestic transactions[14].

Lastly, given the wide range of potential risks associated with stablecoins—including those related to user protection, financial system stability, monetary and foreign exchange policy, and the prevention of illicit financial activities—ongoing monitoring and regulatory refinement will be vital even after their institutionalization. In its recent report, the Bank for International Settlements (BIS) expressed concerns regarding capital outflows, illicit foreign exchange transactions, and the growing misuse of stablecoins for illicit purposes. The BIS further proposed the introduction of an "AML Compliance Score" for stablecoins as a means to restrict transactions involving those associated with illegal activities[15].

[13] The US White House published the report titled "Strengthening American Leadership in Digital Financial Technology". This report was prepared by the President's Working Group on Digital Asset Markets, established following an executive order with the same title issued in January 2025 after President Trump's inauguration. The report includes policy recommendations directed to the US administration, July 2025

[14] In Japan, if a foreign issuer fails to fulfill its obligations to domestic investors, the electronic payment service provider that has listed the relevant stablecoin is required to take necessary measures to fulfill those obligations on behalf of the issuer, the Financial Services Agency (JFSA), "Guidelines on Administrative Procedures for Electronic Payment Service Providers."

[15] BIS, "An Approach to Anti-Money Laundering Compliance for Cryptoassets", August 13, 2025